

PART VIII

Beyond Your Average Blue Chip

While the average do-it-yourself investor won't dabble in futures trading or short selling, if you're in a hedge fund, you ought to know about these more sophisticated practices. The authors in Part VIII explain the skills needed for trading in instruments beyond buying stocks. At the same time, much of the advice is useful in any investing arena. Consider part of Leo Melamed's third rule for options trading: "[F]ollow a predetermined trading plan; a set of rules or established guidelines that you believe are valid . . ." Stanley Kroll, a legendary commodities trader, gives some prime examples of why futures trading is part science and part art. For Martin Zweig, best known for his top ranked Zweig Forecast newsletter, selling short is a pretty simple affair because he finds it easier to dig up the negative information on a company than the positive. But why is Donald Trump included? Because there are alternatives to the stock market when it comes to investing. Whether it be stocks and bonds or real estate, as Trump concludes, "The dollar always talks in the end."